

ARMENIA

Table 1 **2021**

Population, million	3.0
GDP, current US\$ billion	13.9
GDP per capita, current US\$	4670.3
International poverty rate (\$2.15) ^a	0.4
Lower middle-income poverty rate (\$3.65) ^a	6.9
Upper middle-income poverty rate (\$6.85) ^a	53.5
Gini index ^a	25.2
School enrollment, primary (% gross) ^b	91.2
Life expectancy at birth, years ^b	75.2
Total GHG emissions (mtCO2e)	9.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ Most recent WDI value (2020).

Growth has surprised on the upside and is expected to reach 7 percent in 2022, prior to slowing in 2023. The economy has benefited from a surge in money transfers and visitors from Russia that is expected to subside. Risks to this outlook are mostly on the downside, related to the duration and severity of the conflict, inflationary pressures, and the tensions at Armenia's borders.

Key conditions and challenges

Despite the twin shocks of COVID-19 and military confrontation with Azerbaijan in 2020, the Armenian economy has shown resilience thanks to prudent macroeconomic management (flexible exchange rate, active inflation targeting regime; effective fiscal rule), and a sound financial sector.

In early 2022, the country was expected to be negatively impacted by the war and the associated sanctions, given the strong economic linkages with Russia and the increase in global commodity prices. However, the economy has performed better than anticipated, supported by strong domestic demand and large money transfers and visitors from Russia. It is unclear whether these inflows are temporary and could be reversed.

Armenia's long-standing structural bottlenecks include closed borders with two of its four neighbors, low productivity and firm competitiveness, and skills mismatches.

Recent developments

Contrary to expectations, the economic rebound has continued in 2022, with real GDP growing by 11 percent (yoy) during the first half of 2022. This was mostly driven by services (16 percent growth, yoy), in particular tourism, finance, and IT. Manufacturing and construction grew

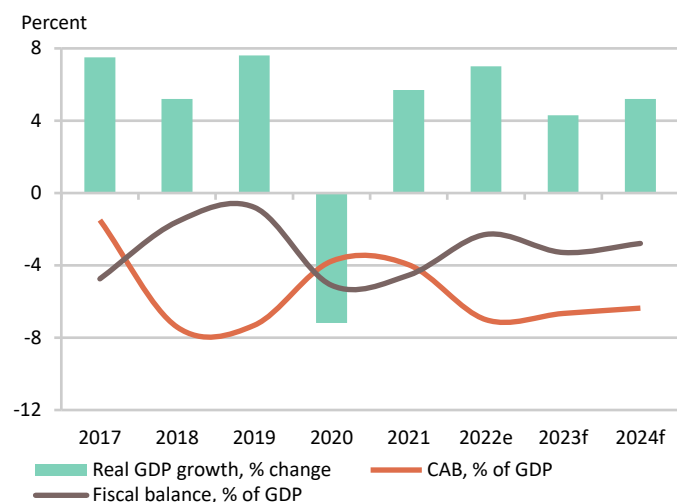
by 11 and 22 percent, respectively, while mining contracted by 11 percent, partly reflecting the closure of the Teghut mine in mid-March 2022 following the Ukraine-Russian war. According to the official statistics, agriculture contracted in real terms by 1.8 percent (yoy), partly reflecting constraints relating to land and irrigation.

After some moderation in late 2021, inflation picked up again in early 2022, and reached 10.3 percent (yoy) in June 2022, prior to easing to 9.3 percent in July. Food and fuel price increases have contributed to about two-thirds of total inflation in the year to date. In response, the Central Bank of Armenia (CBA) has increased the policy rate three times in 2022, to 9.5 percent.

During the first half of 2022, the budget balance has remained in surplus, at 0.9 percent of the annual projected GDP, compared to a planned deficit of 1.5 percent. In this period, total revenues grew by 24 percent (yoy) in nominal terms while expenditures grew by just 5 percent (yoy), a decline in real terms. While capital expenditures have increased by 30 percent, recurrent expenditures just grew by 3 percent, partly due to some savings in the procurement of goods and services. While faster growth in outlays is expected during the second half of the year, the budget is likely to remain under-executed.

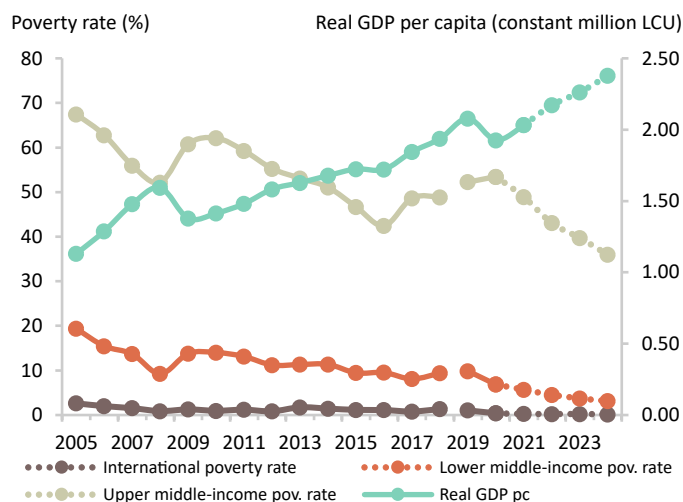
The current account deficit (CAD) has widened in the first half of 2022, as goods import growth has outpaced exports (49 vs. 36 percent, yoy), driven by higher food and fuel import prices and the economic recovery. Remittances declined in nominal terms, but this was compensated by a 2.5-fold increase in total net money

FIGURE 1 Armenia / GDP growth, fiscal and current account balances



Sources: Statistical Committee of Armenia, Central Bank of Armenia, and World Bank staff projections.

FIGURE 2 Armenia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

transfers from abroad (mostly driven by Russia). The net positive arrivals (single entry) of Russian visitors in this period increased by about 21 percent compared to the same period in 2019 (pre-pandemic). FDI increased by 4.5-fold in the first quarter of 2022, mostly driven by investments into the financial sector. As a result of these trends, international reserves increased to USD 3.5 billion by end-July (4.7 months imports). After a short depreciation period at the onset of the Ukraine war, the dram has recovered vis-à-vis the USD and by mid-August it was 18 percent stronger (yoy), while remaining almost flat against the Ruble. The unemployment rate declined to 14.8 percent by end-March 2022 (compared to 16.7 percent in March 2021).

Outlook

The strong economic performance in recent months has led to an upgrade of the growth

forecast for 2022 to 7 percent. Growth is expected to be supported by services, and, to a lesser extent, by industry. The slowdown in trading partners will likely result in slower growth in 2023. Agriculture growth, on the other hand, is expected to remain flat in 2022, while picking up in the medium term, supported by policies in the government's five-year program.

The deficit is expected to be lower than planned in 2022 (at around 2 percent of GDP). As the economy decelerates in 2023, the fiscal stance may loosen, with consolidation expected to continue in 2024 and 2025. Public debt (excluding CBA) is expected to decline by the end of 2022 below the fiscal rule's statutory limit of 60 percent of GDP.

The CAD is projected to widen in 2022 due to weaker external demand and rising import prices and will remain elevated in the medium term, at above 6 percent of GDP. Inflationary pressures are expected to ease in the remainder of 2022 and in the coming years, as external price pressures

subside and inflation targeting helps keep expectations anchored.

Based on the forecasted macroeconomic impact, poverty could reach 43.1 percent of the population in 2022 (measured by the upper middle-income poverty line of \$6.85). Poverty is forecasted to continue declining due to strong economic performance. However, the higher food and energy prices may have a negative distributional impact, disproportionately hurting the poor. Moreover, the impacts can have a long-lasting effect, as lower-income households may be forced to reduce food consumption and investments in assets, hampering human capital accumulation.

Downside risks include continued or heightened clashes with Azerbaijan, a protracted Ukraine conflict, a slowdown in main trading partners, and monetary tightening in advanced economies. On the upside, the significant influx of international visitors from Russia, if sustained, could provide a longer-term boost to the economy.

TABLE 2 Armenia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	7.6	-7.2	5.7	7.0	4.3	5.2
Private Consumption	11.5	-13.9	3.7	8.9	4.2	5.4
Government Consumption	12.9	9.2	8.4	-4.1	4.4	7.1
Gross Fixed Capital Investment	4.4	-1.5	6.3	18.3	8.1	7.1
Exports, Goods and Services	16.0	-33.5	16.6	16.3	8.7	9.2
Imports, Goods and Services	11.6	-31.5	12.9	18.6	9.0	9.7
Real GDP growth, at constant factor prices	7.7	-6.8	5.5	7.0	4.3	5.2
Agriculture	-5.8	-3.7	-0.6	0.0	2.0	3.5
Industry	10.5	-2.5	3.4	3.6	4.5	5.1
Services	9.7	-9.6	8.0	10.3	4.6	5.5
Inflation (Consumer Price Index)	1.4	1.2	7.2	8.5	6.7	4.8
Current Account Balance (% of GDP)	-7.3	-3.8	-4.0	-7.0	-6.7	-6.4
Net Foreign Direct Investment Inflow (% of GDP)	1.7	0.7	2.5	2.7	2.9	3.2
Fiscal Balance (% of GDP)	-0.8	-5.1	-4.6	-2.3	-3.3	-2.8
Debt (% of GDP)^a	53.7	67.4	63.4	61.3	61.0	59.9
Primary Balance (% of GDP)	1.6	-2.4	-2.0	0.3	-0.8	-0.4
International poverty rate (\$2.15 in 2017 PPP)^{b,c}	1.0	0.4	0.2	0.2	0.2	0.2
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{b,c}	9.8	6.9	5.7	4.5	3.7	3.1
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{b,c}	52.3	53.5	48.9	43.1	39.7	36.0
GHG emissions growth (mtCO₂e)	5.5	-10.8	7.3	7.1	6.8	6.5
Energy related GHG emissions (% of total)	59.9	56.3	60.5	62.1	63.5	64.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast. Poverty lines are expressed in 2017 PPP, resulting in changes from earlier editions that used 2011 PPP. See pip.worldbank.org.

a/ Includes Government and CBA debt.

b/ Calculations based on ECAPOV harmonization, using 2020-ILCS. Actual data: 2020. Nowcast: 2021. Forecasts are from 2022 to 2024.

c/ Projection using neutral distribution (2020) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.